



## Headline inflation is moderating and this trend... towards 4% will continue... [and in] FY25, the average inflation will be 4.5%

### **flashpoints impacting India in any manner?**

You see, whatever happens today in the world, the fact is that India is a lot more integrated with the global economy, and we are one of the major players there. So, naturally, whatever happens worldwide will affect India. But I think our inherent resilience, our macroeconomic stability and our approach in the recent years, as we have seen, is different from other countries. So, India, I would like to

believe—and I say so on the basis of clear analysis of the facts on ground—that India will be able to deal with these challenges a lot better... India is better placed than many countries to deal with these challenges.



**Recently, the IMF said that it will have to revise India's growth forecast upwards. Is your own reading that for the current year, growth could be even better than what has been projected**

### **by the RBI's economists themselves?**

You see, we had projected 7% towards the end of October. Our previous projection for the current year was 6.5%. But we projected 7% in October and in the December monetary policy. The projection given by the National Statistical Office (NSO; of 7.3%) came in January, so obviously they had data for one more month, [and] they have access to several other data [points] to which we

don't have access. So, I think growth in the current year will be around 7.3%; if it is better, it is always welcome. What is interesting in all this process is that the momentum of economic activity is still holding its ground and continues to be quite strong. And that gives us the confidence to say that next year's growth will also touch 7%.



**Between the last time that you publicly spoke to now, what is your reading of the consumer lending space and the overall approach to it? As far as consumer lending is concerned are there any concerns that may bother the RBI?**

All segments of lending, all segments of the credit market are under our supervision, and we monitor them very clearly. Wherever we see some incipient signs of a possible stress, we act pre-emptively. So, whatever we have done in the consumer lending space, in the personal loans space, was because we thought that it is perhaps leading towards a kind of a stress, and we wanted to avoid that. They were pre-emptive measures. But even now, the numbers are within reasonable limits, and we have no major cause for concern.



**I wanted your reading of the inflationary situ-**